IN THE NATIONAL COMPANY LAW TRIBUNAL,

ALLAHABAD BENCH

ALLAHABAD

CA No. 212/ALD/ 2020

(Under Section 230&232 of the Companies Act, 2013)

In the Matter of:

SHELJA TRADERS PRIVATE LIMITED, a private limited company incorporated under the Companies Act, 1956and having its registered office at 216, MIG-II, A.D.A Colony, Naini, Allahabad, Uttar Pradesh

.....Transferor Company

NKS INFRACON PRIVATE LIMITED, a private limited company incorporated under the Companies Act, 1956 and having its registered office at 221, MIG-II, A.D.A Colony, Naini, Allahabad, Uttar Pradesh.

.....Transferor Company

AND

M/S SISCO INDUSTRIES LIMIITED, a public limited company incorporated under the Companies Act, 1956 and having its registered office at A-28A,UPSIDC, Industrial Area, Naini,Allahabad, Uttar Pradesh

.....Transferee Company

ORDER DELIVERED ON : 04.12.2020

CORAM:

Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: Ms. Jagriti Singh, Advocate

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. This 1st motion Application under Sections 230& 232 of the companies Act, 2013 (herein after referred to as the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (herein after referred to as "the Rules") is filed by the transferor and the transferee Companies seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of

the Transferee Company and to dispense with the requirement of convening meetings of Equity Shareholders the Transferor Companies.

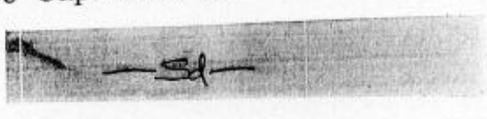
2. In the Application, it is stated that the Transferee Company i.e M/S Sisco Industries Limited("SISCOIL") is a limited company registered under the provisions of the Companies Act, 1956 having CIN No. U27104UP2003PLC027297. The Authorised Share Capital of the Transferee Company as on 31st March, 2019 is ₹62,50,000/- divided into 6,25,000 Equity Shares of ₹10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is ₹ 62,22,980/- divided into 6,22,298 Equity Shares of ₹10 each.

   The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Paper No.1 and are placed at page nos. 43 to 84.***

3. In the Application, it is stated that the Transferor Company i.e M/S Shelja Traders Private Limited("STPL") is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U51909UP2004PTC051912. The Authorised Share Capital of the Transferee Company as on 31st March, 2019 is ₹6,00,00,000.00/- divided into 60,00,000 Equity Shares of ₹10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is ₹ 1,46,24,200/- divided into 14,62,420 Equity Shares of ₹10 each.

   The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Paper No.2 and are placed at page nos. 85 to 105.***

4. In the Application, it is stated that the another Transferor Company i.e M/S NKS Infracon Private Limited("NKSIPL") is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U70102UP2012PTC0513528. The Authorised Share Capital of the Transferee Company as on 31st March, 2019 is ₹4,00,00,000/- divided into 40,00,000 Equity Shares of ₹10 each. The Issued, Subscribed and Paid-up Share Capital of the



Company is ₹ 2,21,00,000/- divided into 22,10,000 Equity Shares of ₹10 each.

The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Paper No.3 and are placed at page nos. 106 to 131.***

5. The Transferee company (SISCOIL) proposes to enter into an arrangement in the proposed scheme of amalgamation, whereby the transferee company is amalgamating with NKISIPL and STPL (Transferor companies).

6. The Board of Directors of both the transferee and the transferor Companies in the meetings held on 15.11.2019, considered and unanimously approved the proposed Scheme of Amalgamation.

7. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2019 and un-audited Financial Statements (provisional) for the period ended 31st December, 2019.

8. The Board of Directors and management of the Transferor Company and the Transferee Company have proposed the Scheme of Amalgamation to merge the transferor companies (STPL and NKSIPL) and Transferee company (SISCOIL) for the following reasons:

a. *To possess a strong capital structure;*

b. *Enjoy better credit facilities and ability to raise resources for modernization and expansion and thereby enhancing the net worth of the merged entity.*

c. *Integration of operations, reduction of cost of operations, administration and managerial; functions;*

d. *Increase of operations, reduction of cost of operations, administration and managerial functions;*

e. *Increase of efficiency by pooling in resources and thus availing synergies from combined resources; and*

f. *Enhancement of shareholders value.*

9. It is stated that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 is pending against the Applicant Companies.

10. The appointed date of proposed scheme of amalgamation is 1st October, 2019.

11. The learned Counsel for the Applicant Companies filed details of Shareholders, Secured Creditors and Un-secured Creditors detailed below:

i) The Transferee Company has ***7 (Seven) Shareholders*** *and all have given their consents by way of deposing individual affidavits.*

ii) The Transferee Company has ***2 (Two) Secured Creditors*** *and all have given their consents by way of deposing individual affidavits.*

iii)The Transferee Company has ***23 (Twenty-Three) Un-secured Creditors*** *and out of which* ***17 (Seventeen)*** *unsecured creditors representing more than 90% of the value have given their consents by way of deposing individual affidavits.*

iv)The Transferor Company (STPL) has ***5 (Five) Shareholders*** *and all have given their consents by way of deposing individual affidavits.*

v) The Transferor Company (NKSIPL) has ***2 (Two) Shareholders*** *and all have given their consents by way of deposing individual affidavits.*

vi)Further, both the transferor companies have no secured or unsecured creditors thus the holding of meeting of secured and unsecured creditors of the transferor company be dispensed with.

—Sd—

12. The Applicants have stated that after amalgamation, the members of the transferor companies shall get the shares of the transferee company in the following ratio:

a) The members of STPL (Transferor companies), whose paid up share capital is 6,22,298 equity shares of Rs. 10 each aggregating to Rs. 62,22,980/- shall be allotted 1 equity share of Rs. 10 each in the SISCOIL(Transferee company), for every 0.68 shares of Rs. 10/- each held in STPL.

b) The members of NKSIPL (Transferor companies), whose paid up share capital is 22,10,000 equity shares of Rs. 10/- each aggregating to Rs.2,21,00,000/- shall be allotted 1 equity share of Rs. 10 each in the SISCOIL (Transferee Company), for every 19.05 shares of Rs. 10/- each held in NKSIPL.

13. The Applicants have stated that the accounting treatment proposed in the Scheme of Arrangement is inconformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. Certificates from the respective Statutory Auditors of the Applicant Companies have been filed along with the Application.

14. Learned Counsel appearing for the Applicants, made the following contentions with respect to the dispensation of the requirement of convening meetings:

A. All the Equity Shareholders of the Transferor Companies and the transferee compnay have given their written consents by way of affidavits. Therefore, the requirement of convening meeting of the Shareholders of the Transferor Companies and the Transferee Company may be dispensed with.

B. All the Secured Creditors of the Transferee Company have given their written consents by way of affidavits. Further, in case of the Transferor Companies, there is no Secured Creditor, therefore, the requirement of convening meeting of the Secured Creditors of the Transferor Companies and the Transferee Company may be dispensed with.

C. In case of the Transferee Company, Un-secured Creditors constituting more than 90% of the total value [which is more than the requisite statutory majority of 90% in value as per section 230(9) of the Companies Act, 2013], hhave given their written consents by way of affidavits. Further, in case of the Transferor Companies, there is no unsecured creditors, therefore, the requirement of convening meetings of the Un-secured Creditors of the Transferor Companies and the Transferee Company may be dispensed with.

15. Having heard the learned counsel for the applicants and by pursuing the material available on record it is felt appropriate to direct that, in view of the consent affidavits given by the Equity Shareholders of the Transferor Companies and the Transferee Company and consent affidavits given by the Secured and unsecured creditors of the Transferee Company, the requirement of convening meetings of the Equity Shareholders of the Transferor Companies and the Transferee Company and the requirement of convening the meeting of secured and unsecured creditors of the transferee company for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

16. Let notices be served by the Applicant Companies, as per the requirement of sub-Section (5) of Section 230 of the Companies Act, 2013 and Rule 6 of Companies (CAA Rules 2016), along with copy of the application and other documents including copy of the scheme of Amalgamation to the Central Government through the office of Regional Director, Northern Region Ministry of Corporate Affairs, ROC Kanpur, Official Liquidator, Allahabad, and Income Tax Department stating PAN No. of the Applicant Company and having jurisdiction over the Transferor Companies and such other relevant sectoral regulators/authorities, if applicable, which are likely to be affected by the proposed Scheme, by sending the same by hand delivery or by registered post/speed post within 7 days from date of this order for filing their representations, if any, on the petition within 30 days from the date of receipt notice.

—Sd—

17. The Applicant's company shall file affidavit within seven days regarding service of notice.

18. The Applicant's company is further directed to send notice through e-mail and also file affidavit. The notice shall specify that representation if any should be filed before this Tribunal within 30 days of date of receipt of such notices.

19. Such notices shall be sent under Section 230 (5) of the Companies Act, 02013 in specified form (CAA.3) of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

20. If no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities is having no representation/objection on the proposed Scheme of Amalgamation

21. With the above directions CA No.212/ALD of 2020 is disposed of accordingly.

—Sd—

JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 04.12.2020

Swati Gupta
(LRA)